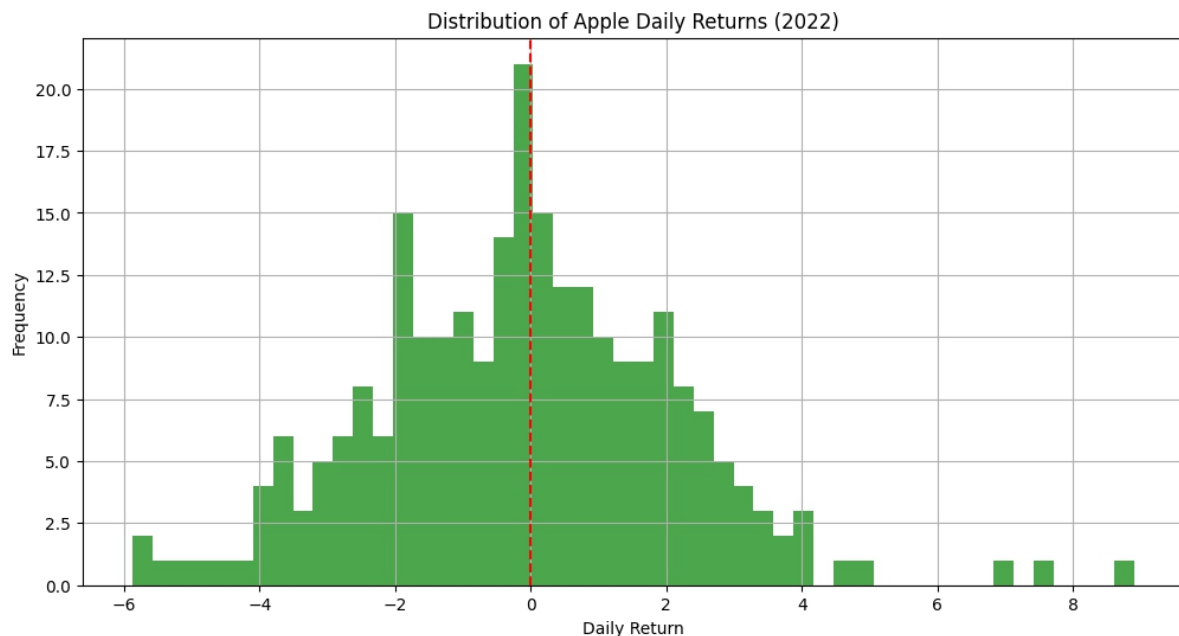


Histograms: Understanding Return Distributions

Histograms show the distribution of values, revealing the shape of your data. For traders, histograms of returns are particularly valuable as they show what kinds of daily moves are common versus rare.

```
1. # Create a histogram of daily returns
2. plt.figure(figsize=(12, 6))
3. plt.hist(apple['Returns'].dropna(), bins=50, color='green', alpha=0.7)
4. plt.title('Distribution of Apple Daily Returns (2022)')
5. plt.xlabel('Daily Return')
6. plt.ylabel('Frequency')
7. plt.axvline(0, color='red', linestyle='--') # Add line at zero
8. plt.grid(True)
9. plt.show()
10.
```



A histogram immediately reveals:

- The center of the distribution (where most returns cluster)
- The symmetry or skew (more positive or negative days)